

Chapter Review

Key Terms

Agglomeration (Clustering of economic activities in certain locations.)

Bargaining power (Ability to extract favorable outcome from negotiations due to one party's strengths.)

Contagion (imitation) effect (The reaction of local firms to rise to the challenge demonstrated by MNEs through learning and imitation.)

Demonstration effect (The reaction of local firms to rise to the challenge demonstrated by MNEs through learning and imitation.)

Dissemination risk (The risk associated with unauthorized diffusion of firm-specific know-how.)

Downstream vertical FDI (A type of vertical FDI in which a firm engages in a downstream stage of the value chain in a host country.)

Expropriation ((1) Government's confiscation of foreign assets; (2) Activities that enrich controlling shareholders at the expense of minority shareholders.)

FDI flow (The amount of FDI moving in a given period (usually a year) in a certain direction.)

FDI inflow (Inbound FDI moving into a country in a year.)

FDI outflow (Outbound FDI moving out of a country in a year.)

FDI stock (Total accumulation of inbound FDI in a country or outbound FDI from a country during a given period (usually several years).)

Foreign portfolio investment (FPI) (Investment in a portfolio of foreign securities such as stocks and bonds.)

Free market view (A political view that suggests that FDI unrestricted by government intervention is the best.)

Horizontal FDI (A type of FDI in which a firm duplicates its home country-based activities at the same value chain stage in a host country.)

Knowledge spillover (Knowledge diffused from one firm to others among closely located firms.)

Internalization (The replacement of cross-border markets (such as exporting and importing) with one firm (the MNE) locating and operating in two or more countries.)

Intrafirm trade (International transactions between two subsidiaries in two countries controlled by the same MNE.)

Licensing (Firm A's agreement to give Firm B the rights to use A's proprietary technology (such as a patent) or trademark (such as a corporate logo) for a royalty fee paid to A by B. This is typically done in manufacturing industries.)

Location (Advantages enjoyed by firms operating in a certain location.)

Management control rights (The right to appoint key managers and establish control mechanisms.)

Market imperfection (market failure) (The imperfect rules governing international transactions.)

Obsolescing bargain (The deal struck by MNEs and host governments, which change their requirements after the initial FDI entry.)

OLI advantage (A firm's quest for ownership (O) advantages, location (L) advantages, and internalization (I) advantages via FDI.)

Oligopoly (Industry dominated by a small number of players.)

Ownership (An MNE's possession and leveraging of certain valuable, rare, hard-to-imitate, and organizationally embedded (VRIO) assets overseas in the context of FDI.)

Pragmatic nationalism (A political view that only approves FDI when its benefits outweigh its costs.)

Radical view (A political view that is hostile to FDI.)

Sovereign wealth fund (SWF) (A state-owned investment fund composed of financial assets such as stocks, bonds, real estate, or other financial instruments funded by foreign exchange assets.)

Sunk costs (Cost that a firm has to endure even when its investment turns out to be unsatisfactory.)

Technology spillover (Technology diffused from foreign firms to domestic firms.)

Upstream vertical FDI (A type of vertical FDI in which a firm engages in an upstream stage of the value chain in a host country.)

Vertical FDI (A type of FDI in which a firm moves upstream or downstream at different value chain stages in a host country.)